₹11.11 LAKH CRORE — Allocation of capital expenditure in infrastructure—an 11% increase from the 2023-24 provision of Rs 10 lakh crore



INDIAN RAILWAYS

HIGHLIGHTS

- Railways gets Rs 2.65 lakh crore for new infrastructure—a 10.4 per cent hike from Rs 2.40 lakh crore in 2023-24
- Safety measures to get boost; three economic rail corridors identified to increase revenue
- Highways gets Rs 2.78 lakh crore; ministry aims to build 10,422 km of national highways
- Pradhan Mantri Gram Sadak Yojana to connect 25,000 villages; 30 million houses to be built under PM Awas Yojana
- Industrial clusters at strategic nodes to spur growth in eastern India. Port infrastructure, Sagarmala and inland waterways to get funds too

IN

PREVIOUS TERMS, THE NARENDRA MODI GOVERNMENT FOCUSED on building infrastructure to improve connectivity, reduce logistics costs and enhance India's business environment. This thrust continues, though without major new announcements, in this year's budget. Make no mistake. At Rs 11.11 lakh crore, the estimated capital expenditure is still some 3.4 per cent of the GDP. But it's a modest 11 per cent increase from last budget's Rs 10 lakh crore. Then, finance minister Nirmala Sitharaman had steeply increased the capital investment outlay by 33 per cent to Rs 10 lakh crore—3.3 per cent of the GDP. That was almost three times the 2019-20 figures. Indeed, after 10 years of keeping infrastructure at the centre of its spending plans—with provisions for new highways, rail projects and airports—the Centre has almost downplayed it. "Why fix something that's not broken?" explains Bibek Debroy, chairman of the Prime Minister's Economic Advisory Council. "Sectors like highways and railways are success stories. And they have hugely expanded their capacity to absorb capital spend over the years."

In her budget speech, Sitharaman, too, resolved "to maintain strong fiscal support for infrastructure". To give a fillip to states in building infrastructure, the Centre has kept a provision of Rs 1.5 lakh crore for long-term interest-free loans. Additionally, private investment in infrastructure will be promoted through viability gap funding and supportive policies.

As expected, railways and highways will continue to claim a bulk of the capital spent on infrastructure—around 50 per cent. Rail infrastructure will get a capital expenditure of Rs 2.65 lakh crore, which is 10.4 per cent higher than the previous year's Rs 2.40 lakh crore. The ministry expects to add Rs 10,000 crore from external sources and around Rs 3,000 crore from its revenues. Hit by a spate of accidents over the past one year, Indian Railways is under pressure to increase safety measures. The budget underlines this as a priority and has earmarked Rs 1.08 lakh crore for it. "A significant fund is earmarked for safety in Railways. In the third term of this government, Railways has continued to get a boost," says Ashwini Vaishnaw, the minister in charge. The focus on electrification and the rollout of advanced signalling systems too will be kept up.

The budget figures also reveal the financial challenge the national transporter faces, with its pension expen-



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— **BIBEK DEBROY,** *Chairman, Prime Minister's Economic Advisory Council*